



# TATA MOTORS

## Financial & Business Analysis

FY2024–FY2025 | Consolidated Analysis

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# EXECUTIVE SUMMARY – FY2025 PERFORMANCE



## Revenue

₹4,39,695 Cr

↑ +1.31% YoY

Modest top-line growth

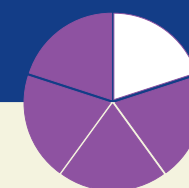


## EBITDA Margin

13.11%

↓ 0.99 pp

Decline in operating profitability



## ROCE

17.60%

↓ 1.10 pp

Weaker capital efficiency



## CASH CONVERSION CYCLE

-45.62 Days

↑ 11.49 days

Stronger cash conversion

FY2025 delivered modest revenue growth, but profitability and ROCE weakened. Working-capital indicators were mixed, with improved collections partly offset by higher inventory days. Higher supplier payment days contributed to a more negative cash conversion cycle.

**KEY FOCUS AREAS – Margin Protection | Inventory Efficiency | Sustainable Cash Conversion**

# Tata Motors – Business & Revenue Drivers

## Analyst Perspective

Tata Motors' diversified business portfolio provides scale and geographic diversification, but also exposes consolidated performance to different market cycles, commodity prices, foreign exchange and premium-vehicle demand.



## Passenger Vehicles

1.

- Tata Motors' Indian PV business
- SUVs and EVs are important growth areas
- Key drivers: volumes, pricing, product mix and new launches

## Commercial Vehicles

2.

- Trucks, buses and commercial mobility solutions
- Demand linked to economic activity, infrastructure and freight movement
- Key drivers: volumes, fleet replacement and utilization

## Jaguar Land Rover

3.

- Global luxury automotive business
- Major exposure to international markets and premium vehicle demand
- Key drivers: premium mix, pricing, volumes, FX and regional demand

## KEY REVENUE DRIVERS



VOLUME



PRICE



PRODUCT MIX



GEOGRAPHY



NEW PRODUCT  
LAUNCHES



COMMODITY  
COSTS



FOREIGN  
EXCHANGE

# Financial Performance - FY2024 vs FY2025



## REVENUE (₹ Crore)

*FY2024 - FY2025*  
4,34,016 - 4,39,695  
↑ +1.31% YoY  
Modest growth



## EBITDA (₹ Crore)

*FY2024 - FY2025*  
61,196 - 57,649  
↓ - 5.79% YoY  
Decline in operating profitability



## PAT (₹ Crore)

*FY2024 - FY2025*  
31,807 - 28,149  
↓ -11.50% YoY  
Bottom-line pressure



## Auto Free Cash Flow (₹ Crore)

*FY2024 - FY2025*  
26,925 - 22,348  
↓ -17.00% YoY  
Cash Generation weakened



### ANALYST VIEW

REVENUE GREW **1.31%** IN FY2025, BUT EARNINGS AND CASH GENERATION WEAKENED. EBITDA DECLINED 5.79%, PAT DECLINED **11.50%**, AND AUTO FREE CASH FLOW DECLINED **17.00%**. THE DIVERGENCE BETWEEN MODEST TOP-LINE GROWTH AND WEAKER EARNINGS INDICATES PRESSURE ON PROFITABILITY AND CASH GENERATION.



### KEY QUESTION

CAN TATA MOTORS **PROTECT MARGINS** AND **RESTORE CASH-GENERATION MOMENTUM** WHILE MAINTAINING REVENUE GROWTH?

# KPI & Working Capital Analysis – FY2024 vs FY2025

## DSO

13.75 → 12.53 Days

● Improved by **1.21** days  
Faster collections

## DIO

59.24 → 63.83 Days

● Increased by **4.59** days  
Inventory days increased

## DPO

107.12 → 121.99 Days

● Increased by **14.87** days  
Supplier payment period  
increased

## CCC

-34.13 → -45.62 Days

● Improved by **11.49** days  
Stronger cash conversion

Inventory → Sale → Collection → Supplier Payment

### ANALYST VIEW

Working-capital performance was mixed in FY2025. DSO improved by **1.21** days, indicating faster collections, while DIO increased by 4.59 days, indicating more inventory days and potentially greater cash tied up in inventory. DPO increased by **14.87** days, contributing to a more negative CCC of **-45.62** days and supporting cash conversion.

### KEY WATCHPOINT

The improvement in CCC should be assessed alongside the increase in inventory days and higher supplier payment days to determine whether the improvement is operationally sustainable.

# Industry & Competitive Analysis -FY2025



## Passenger Vehicles

FY2024-25 passenger-vehicle sales reached a record level, reflecting resilient consumer demand.



## Commercial Vehicles

Commercial-vehicle demand remained more cyclical, influenced by economic activity, infrastructure spending and fleet replacement.



## Structural Trends

EV adoption, SUV demand, affordability, financing costs and regulatory changes are reshaping the industry.



### TATA MOTORS

Revenue

**₹4,39,695 Cr**

Growth (YoY)

**1.31%**

Key Positioning

**PV + CV + JLR**



### MAHINDRA & MAHINDRA

Revenue

**₹1,59,211 Cr**

Growth (YoY)

**14.0%**

Key Positioning

**SUV + LCV + Farm**



### MARUTI SUZUKI

Revenue

**₹1,45,115 Cr**

Growth (YoY)

**7.5%**

Key Positioning

**Passenger Vehicles**

## Analyst Takeaway

Tata Motors has the largest consolidated revenue base, but FY2025 growth was slower than both Mahindra & Mahindra and Maruti Suzuki. Its diversified portfolio provides scale and geographic diversification, while also increasing exposure to multiple market cycles and international risks.

### COMPETITIVE PRIORITIES:



Growth



Product Mix



EV Adoption



Cost Efficiency



Market Share

# Key Risks, Opportunities & Management Priorities

## GROWTH OPPORTUNITIES

### **SUV & Premium Demand**

Continued demand for SUVs and premium vehicles can support product mix and revenue growth.

### **EV Adoption**

EV penetration creates opportunities for Tata Motors to strengthen its position in India's evolving automotive market.

### **Commercial Vehicle Replacement**

Fleet replacement and infrastructure activity can support commercial-vehicle demand.

### **International Growth**

JLR and international markets provide geographic diversification and growth opportunities.

## KEY RISKS

### **Margin Pressure**

FY2025 EBITDA and net profit margins declined, highlighting the need for cost and pricing discipline.

### **Inventory Build-up**

DIO increased from 59.24 to 63.83 days, indicating higher inventory days.

### **Commodity Costs**

Steel, aluminium and other input-cost volatility can pressure margins.

### **FX & Global Exposure**

International operations expose Tata Motors to foreign-exchange movements and global economic conditions.

## MANAGEMENT PRIORITIES

### **Protect Margins**

Focus on pricing, product mix and cost efficiency.

### **Improve Inventory Efficiency**

Monitor inventory levels and demand forecasting.

### **Sustain Cash Conversion**

Maintain disciplined working-capital management while ensuring supplier relationships remain healthy.

### **Invest Selectively in Growth**

Balance EV, premium vehicles and new-product investment with return expectations.

## **ANALYST VIEW –**

**Tata Motors' key challenge is balancing growth investment with profitability and cash discipline. The company has meaningful opportunities in SUVs, EVs, commercial vehicles and international markets, but sustainable value creation will depend on margin protection, inventory efficiency and disciplined capital allocation.**

# Financial Outlook & Key Focus Areas

## KEY FOCUS AREAS

- Maintain pricing discipline and improve cost efficiency.
- Optimize inventory levels and strengthen demand forecasting.
- Enhance working-capital management to sustain negative cash conversion cycle.
- Expand high-margin product portfolio and exports.
- Drive EV adoption and charging infrastructure partnerships.
- Strengthen governance, risk management and operational execution.

## FINANCIAL OUTLOOK

### Revenue Growth

Revenue growth could be supported by new product launches, SUV momentum and international markets.

### Margin Recovery

Margin recovery could be supported by cost optimization, operating leverage and product mix.

### Cash Flow Strength

Sustained working-capital discipline will be critical to maintain strong cash conversion.

### EV & New Mobility

Continued investment in EVs and clean mobility solutions will shape long-term competitiveness.

## OUTLOOK SUMMARY

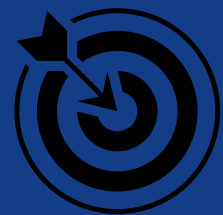
If Tata Motors can improve margins, optimize working capital and scale growth segments, it is well-positioned to deliver sustainable financial performance going forward.

# Final Analyst Conclusion



## Overall View

FY2025 results reflect a mixed performance: modest revenue growth but weaker profitability and cash generation. Working-capital discipline improved cash conversion, supported by higher DPO, but inventory days increased.



## Management View

Tata Motors remains a well-diversified automotive player with strong domestic presence and global assets. The key is to translate scale into consistent profitability and cash generation.

## Key Takeaways

- Revenue grew **1.31%**, but EBITDA **(-5.79%)**, PAT **(-11.50%)** and Auto FCF **(-17.00%)** declined.
- Working-capital performance was mixed; CCC improved to **-45.62** days, supported by higher DPO.
- Industry outlook remains positive, with opportunities in **SUVs, EVs, CV** replacement and international markets.
- Key risks include margin pressure, inventory build-up, commodity costs and global uncertainties.
- Focus areas: margin recovery, inventory efficiency, cash discipline and selective growth investments.

## Conclusion

With the right execution on margins, working capital and growth initiatives, Tata Motors can strengthen profitability, cash flows and long-term shareholder value.

# Appendix

## A. KEY FINANCIAL METRICS

| Metric                     | FY2024   | FY2025   | YoY Change |
|----------------------------|----------|----------|------------|
| Revenue (₹ Cr)             | 4,34,016 | 4,39,695 | 131%       |
| EBITDA (₹ Cr)              | 61,196   | 57,649   | -579%      |
| EBITDA Margin (%)          | 1.411%   | 1.311%   | -100 bps   |
| PAT (? Cr)                 | 31,807   | 28,149   | -1.150%    |
| PAT Margin (%)             | 733%     | 640%     | -93 bps    |
| Auto Free Cash Flow (₹ Cr) | 26,925   | 22,348   | -1.700%    |

## B. WORKING CAPITAL METRICS

| KPI | FY2024      | FY2025      | Change      |
|-----|-------------|-------------|-------------|
| DSO | 13.75 days  | 12.53 days  | -1.21 days  |
| DIO | 59.24 days  | 63.83 days  | +4.59 days  |
| DPO | 107.12 days | 121.99 days | +14.87 days |
| CCC | -34.13 days | -45.62 days | -11.49 days |

## C. PEER COMPARISON - FY2025

| Company             | Revenue (₹ Cr) | YoY Growth (%) | EBITDA Margin (%) | PAT Margin (%) | Focus Area         |
|---------------------|----------------|----------------|-------------------|----------------|--------------------|
| Tata Motors         | 4,39,695       | 1,31           | 13,11             | 6,4            | PV + CV + JLR      |
| Mahindra & Mahindra | 1,59,211       | 14             | 15,8              | 10,3           | SUV + LCV + Farm   |
| Maruti Suzuki       | 1,45,115       | 7,5            | 11,6              | 7,7            | Passenger Vehicles |

Note: All figures are Consolidated for Tata Motors and based on FY2025 annual results.